Tier 2 design: Rate Limiting & Intelligent Caching

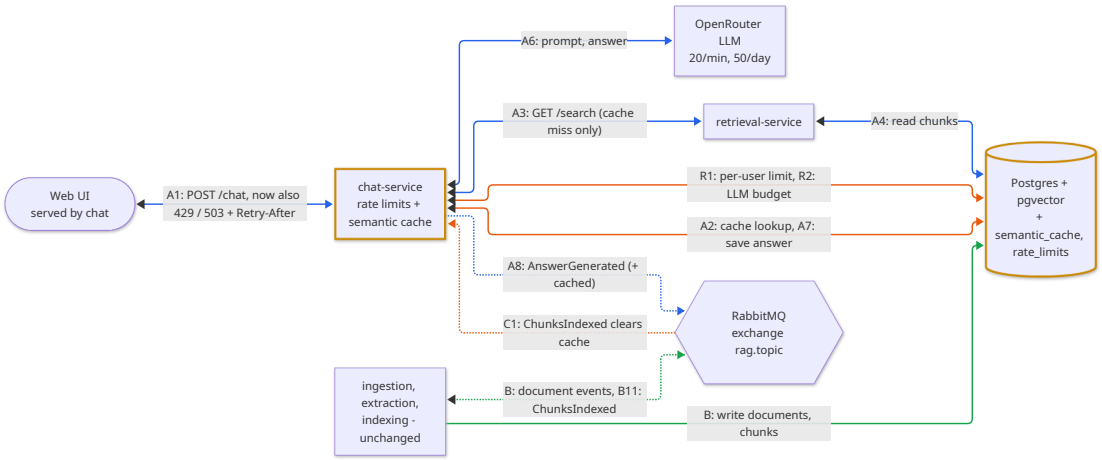
A. What

Feature: per-user and global request limits, plus a semantic cache for similar questions.
Why: All users share one OpenRouter key, and `:free` models allow 20 requests per minute and 50 per day, counting retries. Chat's client retries a failed call up to 5 times, so one question can use 5 of those 20. Once the cap is hit, every `/chat` returns 502 until it resets, possibly mid-demo. Per-user limits stop one user from using up the quota, and the cache answers repeated questions in milliseconds without calling the LLM.
User stories

1. As a student, I want common questions answered quickly so I don't wait for the LLM every time.
   - A question with similarity ≥ 0.92 to an unexpired cached question is answered from the cache in under 500 ms, without calling retrieval or the LLM.
   - Fallback answers are never cached. Entries expire after 24 hours or when `ChunksIndexed` is received.
2. As the team running the demo, I want chat to stay under OpenRouter's limits so the demo never fails with 502.
   - Chat makes at most 15 LLM requests per minute and 45 per day, counting every retry.
   - When this budget is used up, cache hits still get 200 and cache misses get 503 with `Retry-After`.
3. As a student, I want the chatbot to stay available when another user sends many questions.
   - A user (JWT `sub`, or IP if not logged in) sending more than 5 requests per minute gets 429 with `Retry-After`.
   - Other users are not affected and still get 200.

B. Where it fits

- **New:** no new service. Both parts live in chat, the only service that calls the LLM.
- **Changed:** chat (8004) gets a database connection, embeds questions with `BAAI/bge-small-en-v1.5` (same model and query prefix as retrieval), checks both limits and consumes `ChunksIndexed`. The DB gets two tables (section C).
- **Unchanged:** ingestion, extraction, indexing, retrieval.



Orange = new (rate limits R, cache A2/A7, cache invalidation C). Yellow border = changed (chat, DB). Blue (A) and green (B) flows are as in `docs/architecture-event-flow.md`, with the pipeline services collapsed into one box. On a cache hit, chat skips A3–A6.

C. Interfaces

Chat changes. No new endpoints. `POST /chat` returns `cached: true|false` with every answer, and gains two errors:

Status	When	Body
429	User sent more than 5 requests this minute	`{"detail": "rate limit exceeded"}` + `Retry-After`
503	LLM budget used up and question not cached	`{"detail": "LLM budget exhausted"}` + `Retry-After`

`Retry-After` is the number of seconds until the current window resets.
Events (draft). None new. `AnswerGenerated` adds `cached` to its payload, so the cache hit rate can be measured from the events. Example of a cache hit (`user_id` and `conversation_id` come from Tier 1):

```
{
  "eventType": "AnswerGenerated",
  "eventId": "3f2b8c1e-5d0a-4c1e-9a7b-1e2d3c4b5a71",
  "timestamp": "2026-11-12T10:00:00Z",
  "correlationId": "d4e5f6a7-2b3c-4d5e-9f0a-1b2c3d4e5f60",
  "payload": {
    "question": "what is the late submission penalty?",
    "answer": "A 5-mark deduction per day up to a maximum of 5 days...",
    "citations": [
      {
        "title": "Academic Integrity Regulations",
        "url": "https://www.lancaster.ac.uk/.../Academic-Integrity-Regs.pdf",
        "page": 3
      }
    ],
    "user_id": "u123",
    "conversation_id": "c456",
    "cached": true
  }
}
```

Chat binds queue `chat.chunks-indexed` to `chunks.indexed`, making it the first consumer of `ChunksIndexed`. The event catalogue changes `ChunksIndexed` to `mandatory=True` with publisher confirms, like the other consumed events.

Data model. Both tables are owned by chat and created on startup.

- `semantic_cache(id, question, embedding vector(384), answer, citations JSONB, created_at, expires_at)`, as already defined in `docs/contracts.md`.
- `rate_limits(key, window_start, count)`, where `key` is `user:<sub>`, `ip:<address>`, `llm:minute` or `llm:day`. Rows older than a day are deleted, so IP addresses are not kept.

D. How

- **Order in `/chat`:** per-user limit → embed question → cache lookup → retrieval and score threshold → global budget → LLM → save to cache. The cache comes before the budget, so cached questions still work once the budget is used up.
- **Retries:** chat checks and counts the global budget before every LLM attempt, including retries, because OpenRouter counts each one. If the budget runs out mid-retry, chat stops and returns 503.
- **Counting:** fixed one-minute and one-day windows. Each count is one atomic upsert, so two concurrent requests cannot both slip under the limit.
- **Similarity:** pgvector cosine distance on question embeddings, as in retrieval. 0.92 will be tuned on paraphrases (should hit) against near-misses such as "miss classes" vs "miss 5 classes" (should not).
- **Invalidation:** every `ChunksIndexed` clears the cache, so no answer built from old documents survives. The 24-hour TTL is the safety net.
    - **Note:** ingestion skips URLs it has already seen, so a PDF replaced at the same URL is not re-indexed and `ChunksIndexed` is not sent. The 24-hour TTL limits stale cache answers to one day. Re-checking known PDFs by content hash is future work.
- **Failure:** if Postgres is down, `/chat` returns 503. Retrieval cannot work without it either, so skipping the limits would not help.
- **Privacy:** the cache is shared and stores no user data, matching Tier 1.

Alternatives considered

Alternative	Pro	Con	Decision
Separate rate-limit/cache service	Reusable, scales on its own	Extra network hop on every request, new point of failure	Inside chat, which already owns the question, answer and LLM call
Redis for counters and cache	Standard and fast	New container to run; our traffic is low enough for Postgres	Postgres, which is already running
Token bucket instead of fixed window	No burst at window edges	More logic per key	Fixed window: simple, edge burst acceptable
Exact-match cache	No embedding needed	Misses reworded questions	Semantic cache

E. Plan (Sprint 2 issues)

#	Issue	Est.	Owner
1	Chat DB connection, create tables, env vars, load bge-small in chat	0.5d	Amr
2	Per-user limit (429) and global LLM budget (503), counting retries	2d	Walid
3	Semantic cache: lookup, save, `cached` field	1.5d	Layla
4	`ChunksIndexed` consumer clears the cache; update event catalogue	1d	Amr
5	Tune `CACHE_SIMILARITY`; UI messages for 429/503	1d	Walid
6	Tests (section F), update contracts.md (model, tables) and diagram	1.5d	Layla

F. Verification

- **Unit:** window counting, `Retry-After`, similarity at the threshold, fallbacks not saved, each retry counted in the budget.
- **Integration** (TestClient + test Postgres, LLM mocked): the 6th request in a minute from one user gets 429 while another user gets 200; with the budget used up, a new question gets 503 with no LLM call and a cached one gets 200; asking twice calls the LLM once; `ChunksIndexed` empties the cache.
- **Done when** all section A criteria pass in CI.